IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No. 304

CP(CAA)/67(AHM)2022
in
CA(CAA)/20(AHM)2022

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Dholka Plywood Industries Pvt Ltd **.....Applicant**

.....Respondent

Order delivered on 15/06/2023

Coram:

Mr. Deep Chandra Joshi, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-
DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL,
AHMEDABAD BENCH
(COURT – II)

CP(CAA)/67 (AHM)2022
IN
CA(CAA)/20(AHM)2022

[A petition under Section 230-232 of the Companies Act, 2013 along with other relevant provisions of the Companies Act, 2013 and the rules made thereunder]

In the matter of the Scheme of Amalgamation between

DHOLKA PLYWOOD INDUSTRIES PRIVATE LIMITED

(The Transferor Company/ Petitioner Company)

And

SHOWAN INVESTMENT PRIVATE LIMITED

(The Transferee Company)

And

their respective shareholders and/or creditors

Order delivered on 15.06.2023

Coram:

DEEP CHANDRA JOSHI
HON'BLE MEMBER (JUDICIAL)

AJAI DAS MEHROTRA
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

M/s. Dholka Plywood Industries Private Limited
(CIN: U20211GJ2000PTC037542)
Having address at:
206, Silver Oaks Building,
Nr. Mahalaxmi Cross Road, Paldi,
Ahmedabad-380007, Gujarat

… Transferor Company/
Petitioner Company

AND

M/s. Showan Investment Private Limited
(CIN: U74999AS2013PTC011587)
Having address at:
Makum Road, Tinsukia, Assam- 786125

… Transferee Company

Appearance:

For the Applicant	: Mr. Subodh Kumar Agrawal, PCA
For the Income Tax Department	: Ms. Pankti Shah, Adv..
For the RD	: Mr. Shiv Pal Singh and Mr. Liladhar Sharma, Assistant Director

ORDER

1. The instant petition is filed by the Petitioner Company under Sections 230 and 232 of the Companies Act, 2013 ("the Act") read with other relevant provisions of the Act for sanction of the Scheme of Amalgamation ("the Scheme") of M/s. Dholka Plywood Industries Private Limited ("DPIPL") –the Transferor Company/ Petitioner Company and M/s. Showan Investment Private Limited ("SIPL") – the Transferee Company and their respective Members and/or Creditors.

2. From the records, it is seen that the first motion application seeking directions for dispensation of the meetings of the equity shareholders of the Petitioner Company was allowed vide order dated 11.08.2022 with directions to issue notices to concerned Statutory and/or Regulatory Authorities. Since there were no Secured and Unsecured Creditors in the Petitioner Company, the meeting of Secured and Unsecured Creditors of the Petitioner Company was not required to be convened. The Petitioner Company filed an affidavit of service of notice to the concerned Statutory and/or Regulatory Authorities.

3. The 2nd motion petition was filed on 07.10.2022. During the hearing on 20.10.2022, the Learned PCA for the Petitioner Company sought time to file an appropriate application for condonation of delay. Accordingly, the Petitioner Company filed an IA i.e., IA 80 of 2022 which was allowed vide order dated 31.01.2023 and the delay in filing of the 2nd motion application was condoned.

4. The 2nd motion petition was admitted vide order dated 31.01.2023, with directions for publication of notice of hearing in "Financial Express" in English and Gujarati (Ahmedabad Edition) not less than 10 days before the date fixed for hearing, calling for objections, if any, on or before the date of hearing. This Tribunal also directed to issue notice to the Regional Director ("RD"), Registrar of Companies ("RoC"), Official Liquidator ("OL") and the Income Tax Department.

5. In compliance with the order dated 31.01.2023, the Petitioner Company filed an affidavit regarding the paper publication and proof of service of notices to the Statutory Authorities on 15.03.2023.

6. The Regional Director, North Western Region, MCA filed a common report on 24.01.2023 along with the report of RoC, Ahmedabad. They have made the following observation:

i) As per para 2(f), the Petitioner Company to submit the present status of the petition filed before the National Company Law Tribunal, Guwahati Bench, Assam in respect of Transferee Company.

ii) As per para 2(g), the Petitioner Company to file the annual account / return as on 31.03.2022 and place on record all the relevant facts of the matter.

iii) As per Para 2(h), the Petitioner Company to comply with

Accounting Standard-14 and to place on record all the relevant facts of the matter.

iv) As per para 2(j)(1), the Petitioner Company to file financial statement upto 01.10.2021 in the prescribed e-form AOC-4 under the MCA 21 portal.

v) As per para 2(j)(2), the definition clause "Demerger Scheme" means the Scheme of Demerger for transfer of finance business undertaking from Prime Holding Private Limited to DPIPL filed before both, NCLT, Guwahati Bench and NCLT, Ahmedabad Bench on October 6, 2021. Hence, the word "Demerger Scheme" means the Scheme of Demerger for transfer of finance business undertaking from Prime Holding Private Limited to DPIPL" shall be replaced with "Amalgamation Scheme" means the Scheme of Amalgamation between DPIPL and SIPL.

vi) As per para 2(j)(3), the Scheme provides that "the Demerger Scheme for transfer of finance business undertaking from Prime Holdings Private Limited to DPIPL has been filed before both, NCLT, Guwahati Bench and Ahmedabad bench on October 6, 2021. Upon Demerger Scheme becoming effective, DPIPL shall be required to issue and allot 55,00,000 fully paid up 8% non-cumulative redeemable preference shares of INR 10 each of DPIPL pro rata to each equity shareholder of Prime Holdings Private

Limited whose name is recorded in the register of member of Prime Holding Private Limited on the record date. The issue and allotment will be deemed to have been made on April 01, 2021, the appointed date of the Demerger Scheme". As the proposed Scheme filed for Amalgamation between DPIPL with SIPL, as Prime Holding Limited is not involved in the Scheme in any manner, therefore, Petitioner Companies to amend the clause 6 of the Scheme.

vii) As per para 2(j)(4), the Petitioner Company to comply with Section 232(3)(i) of the Companies Act, 2013 and the Transferee Company must pay the differential fee, if any after setting off the fee already paid by the Transferor Company on its Authorized Capital.

viii) As per para 2(j)(5), the Petitioner Company to preserve its Books of Account, papers and records and shall not dispose them without prior permission of the Central Government as per the provision of section 239 of the Companies Act, 2013.

ix) As per para 2(j)(6), the Petitioner Company to ensure statutory compliance of all applicable laws and on sanctioning of the present scheme also, the Transferor Company shall not be absolved from any of its statutory liabilities, in any manner.

x) As per para 2(j)(7), necessary Stamp duty on transfer of property/Assets, if any to be paid to the respective authorities before implementation of the Scheme.

xi) As per para 2(j)(l), the Petitioner Company to pay such amount of legal fees/costs to the Central Government which may be considered appropriate by this NCLT.

7. In response to the observations made by the RD and RoC, the Petitioner Company has filed affidavit on 21.02.2023 in order to deal with the observations made by the Regional Director and the Registrar of Companies as below :

I. With reference to para 2(f), the Petitioner Company states that the Transferee Company falls under the jurisdiction of the Hon'ble NCLT, Guwahati Bench, Assam for which the separate petition (2nd Motion) has been filed which has been numbered as CP (CAA)-9/GB/2022 and the matter is reserved for orders on 26.05.2023.

II. With reference to para 2(g), it is submitted that the Petitioner Company has filed the annual accounts/ returns as on 31.03.2022. A copy of the same is annexed with this affidavit.

III. With reference to para 2(h), the Petitioner/Transferor Company undertakes to comply with the compliance of the Accounting Standard - 14 and shall place the record of the relevant facts of the matter.

IV. With reference to para 2(j)(1), the Petitioner Company admits that the appointed date mentioned under the definition clause is October

02, 2021 and hereby undertakes to file the Financial Statement upto 01.10.2021 in the prescribed e-form AOC-4 under the MCA 21 before the implementation of the Scheme

V. With reference to paragraph 2 (j)(2), the Petitioner states that the "Demerger Scheme" means the Scheme of Demerger for transfer of "Finance Business Undertaking" from Prime Holdings Private Limited to DPIPL filed before both, NCLT, Guwahati Bench and NCLT, Ahmedabad Bench. The said Scheme of Demerger is defined and referred to in the concerned Scheme of Amalgamation, as the said Demerger Scheme involves Dholka Plywood Industries Private Limited (the Transferor Company under the Scheme of Amalgamation). Further, in the scheme of Arrangement, it is properly indicated that the Scheme of Amalgamation involves amalgamation between Dholka Plywood Industries Private Limited and Showan Investment Private Limited and that the Scheme of Demerger involves Dholka Plywood Industries Private Limited and Prime Holdings Private Limited.

VI. With reference to paragraph 2(j)(3), that the Petitioner Company hereby submits that the Demerger Scheme for transfer of "finance business undertaking" from Prime Holdings Private Limited to Dholka Plywood Industries Private Limited has been filed before this Tribunal on 6th October, 2021 and the 2nd Motion petition for

the said scheme of demerger filed on 9th September, 2022.

Further, once the scheme becomes effective, DPIPL shall be required to issue and allot 55,00,000 fully paid up 8% non-cumulative redeemable preference shares of Rs. 10 each to each equity shareholder of Prime Holdings Private Limited as per the valuation report. The appointed date in the said Scheme of Demerger is 1st April, 2021.

It is admitted fact that the Prime Holdings is nowhere connected with this Scheme of Amalgamation between the Dholka Plywood Industries Private Limited and Showan Investment Company Private Limited.

The said clause no. 6 is specified in the Scheme of Amalgamation as the Dholka Plywood Industries Private Limited is connected with the Scheme of Demerger in which the Dholka Plywood Industries Private Limited shall allot the shares to the Shareholders of Prime Holdings Private Limited on effective date and after the allotment of shares, the shareholders of Prime Holdings Private Limited becomes the shareholders of Dholka Plywood Industries Private Limited.

Thereafter, once the merger of Dholka Plywood Industries Private Limited and Showan Investment Company Private Limited becomes effective, Showan Investment Company Private Limited shall issue and allot shares to the shareholders of Dholka Plywood Industries

Private Limited (which shall include shareholders of Prime if the Demerger Scheme is approved). The relevant clause 6 of the Scheme specifically indicates the Paid Up Capital of the Dholka Plywood Industries Private Limited after the Demerger Scheme is effective. Therefore, the said clause 6 of the Scheme of Arrangement does not require any amendment.

VII. With reference to paragraphs 2(j)(4, (5), (6), (7), (8), and 2(l), the Petitioner Company undertakes to comply with the same.

8. The Official Liquidator has filed its report before this Tribunal with reference to the Petitioner Company on 13.01.2023 and sought the following directions:

i) As per para 8, the petitioner Company to file the annual account/return upto 31.03.2022 with the RoC, Ahmedabad and place on record before this Tribunal the proof of having filed the Audited Balance Sheet.

ii) As per para 10, the Petitioner Company to place on record before this Tribunal, the order allowing the Scheme of Arrangement between Prime Holdings Private Limited and Dholka Plywood Industries Private Limited, before sanctioning the present scheme of Amalgamation.

iii) As per para 17, the Petitioner Company to clarify as to whether all

the employees of the Transferor Company who are on the payroll of the Transferor Company shall become the employees of the Transferee Company.

iv) As per para 19, the Petitioner Company to place on record of this Tribunal the amended clause V upon Scheme of Amalgamation coming into force.

v) As per para 23, the petitioner Company to preserve its Books of Account, papers and records and shall not dispose of without prior permission of Central Government as per the provision of section 239 of the Companies Act, 2013.

vi) As per para 24, the Petitioner Company to ensure Statutory Compliance of all applicable laws and also on sanctioning of the present scheme, the Transferor Company shall not be absolved from any of its statutory liabilities, in any manner.

vii) As per para 25, the Petitioner Company to pay fees as per Section 232(3)(i) of the Act.

viii) As per para 26, the Petitioner Company to pay the legal fees/ expenses of the Office of the OL for submitting this report.

ix) As per para 27, the Petitioner Company to file a certified copy of the order along with Scheme, with the concerned Superintendent of Stamps for the purpose of adjudication of stamp duty payable, if any.

9. In response to the above observations made by the Official Liquidator, the Petitioner Company has filed affidavit in reply in order to deal with the observations made by the Official Liquidator as below:

i. With reference to paragraph 8, it is submitted that the Transferor/Petitioner Company has filed the annual accounts/ returns as on 31.03.2022 with Registrar of Companies (ROC), Ahmedabad. A copy of the same is annexed with this affidavit.

ii. With reference to paragraph 10, the petitioner company states that the Scheme of Arrangement between the Prime Holdings Private Limited and Dholka Plywood Industries Private Limited is filed before the Guwahati Bench of NCLT and Ahmedabad Bench of NCLT respectively for the approval of Scheme of Arrangement by way of Demerger. However, the NCLT Guwahati Bench vide its order dated 10th February, 2023 reserved the order in CP (CAA) No 6/GB/2022 and the said petition was allowed vide order dated 13th April, 2023 wherein the Scheme was approved. The NCLT, Court II, Ahmedabad has reserved for orders CP(CAA) 54 of 2022 in CA(CAA) 80 of 2021 on 10.05.2023.

iii. With reference to paragraph 17, the Petitioner Company states about the effect of the Scheme on Staff, Workmen and Employees of the Transferor Companies, the Company hereby clarifies and undertakes that :

Once the scheme becomes effective, all the staff and employees of the Transferor Company in service on the effective date shall be deemed to have become staff and employees of the Transferee Company without any break in their service and on the basis of continuity of service, and the terms & conditions of their employment with the Transferee Company shall not be less favorable than those applicable to them on the effective date.

iv. With reference to paragraph 19, the Petitioner Company state that the amended clause V of the Memorandum of Association of the Transferee Company after the scheme is effective, shall be as under:

"The Authorized Share Capital of the Company is Rs 6,65,00,000 divided into 11,50,000 Equity Shares of Rs 10 each and 55,00,000 Preference shares of Rs 10 each."

v. With reference to paragraph 23, the Petitioner Company hereby undertakes that the Books of Accounts, papers and records shall be preserved and shall not be disposed of without prior permission of the Central Government by complying with the provision of Section 239 of the Companies Act, 2013.

vi. With reference to paragraph 24, the Petitioner Company hereby undertakes to ensure statutory compliance of all applicable laws and also that on sanctioning of the present scheme, the Transferor Company shall fulfil all its statutory liabilities and will not be absolved from any of its Statutory Liability, in any manner.

vii. With reference to paragraph 25, the Petitioner Company hereby undertakes to comply with the provision of section 232(3)(i) of the Companies Act, 2013 and on the scheme becoming effective, the Transferee Company will pay the differential fee, if any after setting off the fee already paid by the Transferor Company on its authorized capital.

viii. With reference to paragraph 26, the Transferee Company has already paid such costs and expenses to the office of the Official Liquidator by way of Demand Draft of Rs 10,000 in favour of the Official Liquidator, payable at Ahmedabad. A copy of Demand Draft is annexed with the affidavit.

ix. With reference to paragraph 27, the Petitioner Company undertakes that necessary stamp duty on transfer of property/ assets shall be paid to the concerned Superintendent of Stamps before the implementation of the scheme.

10. As recorded in the daily order dated 01.05.2023, Learned Counsel Ms. Pankti Shah appeared for the Income Tax Department and stated that the Income Tax Department has not filed any written report. However, no objections are communicated orally during the hearing by the Income Tax Department. Mr. Liladhar Sharma, Assistant Director, for the Office of the Regional Director, appeared and stated that they do not have any objection

if the Scheme is approved. No one appeared for the Official Liquidator but the report of the OL has been received. Learned Counsel for the Petitioner Companies stated that there are no objection in the report of OL. Only some observations have been made and they have replied to the observations.

11. The Petitioner Company has also placed on record the valuation report dated 17.01.2022 regarding share exchange ratio given by CA Harsh Chandrakant Ruparelia, Chartered Accountants and Registered Valuer (IBBI Registration No. IBBI/RV/05/2019/11106 and Membership No. ICMAI RVO/S&FA/00054). Copies of the same are annexed with the petition.

12. The Petitioner Company has also filed its audited financial statements as of 31.03.2022 and unaudited provisional financial statements as of 30.11.2021.

13. Heard submissions and perused the documents placed on record. Considering the approval accorded by the members and/or creditors of the Petitioner Company to the proposed Scheme, and the no objections given by the respective Statutory Authorities, it appears that the requirements of the provisions of Sections 230 and 232 are satisfied by the Petitioner Company. It seems that the proposed Scheme of Amalgamation is *bonafide* and in the interest of the shareholders and/or creditors.

Therefore, the petition is allowed and the Scheme annexed with the petition being Amalgamation of M/s. Dholka Plywood Industries Private Limited with M/s. Showan Investment Private Limited is hereby sanctioned. It is declared that the said sanctioned scheme shall be binding on the Petitioner Company and their shareholders, creditors, and all concerned under the scheme.

14. Notwithstanding the above, if any deficiency is found or, violation committed qua any enactment, statutory rule, or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner.

15. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST, etc., or any other charges or payment in accordance with the law, or any kind of waiver in respect of any permission/ compliance with any other requirement which may be specifically required under any law.

16. The Scheme is sanctioned with the following directions:

i. The Scheme of Arrangement in the nature of the merger as annexed herewith as "Annexure A" is hereby sanctioned and it is declared

that the same shall be binding on the Petitioner Company and their Shareholders and Creditors and all concerned under the Scheme.

ii. The Transferor Company shall be dissolved without winding up.

iii. All the properties mentioned in schedule as "Annexure B", right, title and interest of the Transferor Company specified in the schedule hereto and all the other properties, rights and powers of the Transferor Company be transferred without any further act or deed to the Transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, vest in the Transferee Company for all the estate and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same, if any

iv. The Transferor Company shall, together with all its properties, rights and powers, be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Company therein; and

v. All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Transferor Company shall stand

transferred to and vest in the Transferee Company, without any further act or deed. The Transferee Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Transferee Company.

vi. All liabilities including taxes and charges, if any and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company without in any way obstructing compliance of depositing outstanding tax dues if any; and

vii. All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Transferor Company in respect of the Transferor Company, shall stand transferred to and vest in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be forced by or against it as fully and effectually against the Transferee Company.

viii. All taxes paid or payable by the Transferor Company including existing and future incentives, un-availed credits and exemptions,

the benefit of carried forward losses and other statutory benefits, shall be available to and vest in the Transferee Company. The Tax liability of the Transferor Company shall become liability of the Transferee Company and any proceedings against the Transferor shall continue against the Transferee Company.

ix. Upon the Scheme becoming finally effective, in consideration of the transfer of and vesting of undertaking of the Transferor Company in the Transferee Company in terms of the Scheme, the Transferee Company shall, subject to the provisions of the Act and without any further application, act, instrument or deed, issue and allot shares to the person whose names are recorded in the Register of Members of the Transferor Company on such date (hereinafter called the "Record Date") to be fixed by the Board of Directors of the Transferee Company.

x. Upon the coming into effect of the Scheme, no consideration will accrue to order received by the Transferor Company and in consideration of the amalgamation of the Transferor Company with the Transferee Company pursuant to Part III of the Scheme, including the consequential extinguishment of the shareholding in the Transferor Company, the Transferee Company shall, without any further act or deed and without any further payment, issue and

allot:

"1,00,000 fully paid equity shares of INR 10 each of SIPL pro rata to each equity shareholder of Transferor Company whose name is recorded in the register of members of the Transferor Company as on the record date, or to such of their heirs, executors, administrators or the successors – in-title ; and

55,00,000 fully paid up 8% non-cumulative non-convertible redeemable preference shares of INR 10 each of SIPL pro rata to each preference shareholder of the Transferor Company whose name is recorded in the register of members of the Transferor Company on the Record Date, or to such of their heirs, executors, administrators or the successors-in-title."

xi. All proceedings and litigation pending or to be initiated, by or against the Transferor company, if any shall be continued by or against the Transferee company.

xii. All employees in the service of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company on date on which the Scheme finally takes effect on the basis that their services shall be deemed to have been continuous and on terms and conditions no less favourable than those on which they were/are engaged, as on the Effective Date.

xiii. All concerned Authorities to act on the copy of this order along with

the Scheme authenticated by the Registrar of this Tribunal who shall issue the certified copy of this order along with the Scheme immediately.

xiv. The Petitioner Company is directed to lodge a copy of this Order and the approved Scheme duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of receipt of certified copy of Order.

xv. The registered office of the Transferee Company is in Guwahati, and the application filed before the NCLT Guwahati Bench in CP (CAA) No. 9/GB/2022 in CA (CAA) No. 1/GB/2022 is pending for adjudication. Hence this approval is subject to the approval of the said petition by the NCLT Guwahati Bench.

xvi. The timeline given in the matter for compliance shall commence from the date the petition filed before the NCLT Guwahati Bench, if allowed, is disposed of.

xvii. The Petitioner Company is further directed to file a copy of this order along with a copy of the Scheme with the concerned Registrar of Companies, electronically, along with e-form INC-28 in addition to a physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant

provisions of the Act.

xviii. The legal fees and expenses of the office of the Regional Director are quantified at Rs. 10,000 in respect of the Petitioner Company. The said fees to the Regional Director shall be paid by the Transferee Company.

xix. The legal fees and expenses of the office of the Official Liquidator are quantified at Rs.10,000/- in respect of the Transferor Company. The said fees to the Official Liquidator shall be paid by the Transferee Company.

xx. Any person aggrieved by this Scheme shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

xxi. The Company Petition CP(CAA) 67 of 2022 connected with CA(CAA) 20 of 2022 is allowed and disposed of, in terms of the above order.

-SD-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-
DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

Rajeev Kr. Sen/PS
Abhishek/LRA

ANNEXURE - "A"

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Exhibit-AC

SCHEME OF AMALGAMATION
UNDER SECTIONS 230 TO 232 OF THE COMPANIES ACT, 2013

BETWEEN

DHOLKA PLYWOOD INDUSTRIES PRIVATE LIMITED: TRANSFEROR COMPANY

AND

SHOWAN INVESTMENT PRIVATE LIMITED: TRANSFEREE COMPANY

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

(PURSUANT TO SECTION 230 TO 232 OF THE COMPANIES ACT, 2013 AND OTHER APPLICABLE PROVISION OF THE COMPANIES ACT, 2013)

NOTARY REKHA TEWARI Regn. No. 10288/13 GOVT. OF INDIA

For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.

Authorised Signatory

Showan Investment Pvt. Ltd.

Director/Authorised Signatory

NOTARY KOLKATA REKHA TEWARI Regn. No. 10288/13 GOVT. OF INDIA

NATIONAL COMPANY LAW TRIBUNAL

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PREAMBLE

This Scheme of Amalgamation (as defined hereinafter in Clause 3.18 of Part I) is presented under Sections 230 to 232, of the Companies Act, 2013 (the "Act") and other applicable provisions of the Act for amalgamation of M/s Dholka Plywood Industries Private Limited (hereinafter referred to as "DPIPL" or "Transferor Company") into M/s Showan Investment Private Limited (hereinafter referred to as "SIPL" or "Transferee Company").

The Scheme is in the best interest of the Transferor Company, Transferee Company and their respective shareholders and all other stakeholders.

PARTS OF THE SCHEME:

The Scheme is divided into five parts:

i. **Part I** sets-forth the Introduction, Definitions and Interpretation;

ii. **Part II** sets-forth the Capital Structure of the Transferee Company and Transferor Company;

iii. **Part III** deals with the amalgamation of the Transferor Company into and with the Transferee Company, in accordance with sections 230 to 232 of the Act;

iv. **Part IV** deals with consideration, accounting and tax treatments in the Financial Statements of the Transferee Company pursuant to the amalgamation of the Transferor Company in the Transferee Company and in terms of this Scheme; and

v. **Part V** deals with general/residuary terms and conditions.

NOTARY REKHA TEWARI Regn. No. 102/RA/13 GOVT. OF INDIA

For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.

Authorised Signatory

Showan Investment Pvt. Ltd.

Director/Authorised Signatory

NOTARY KOLKATA REKHA TEWARI Regn. No. 102/RA/13 GOVT. OF INDIA

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

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PART I
INTRODUCTION, DEFINITIONS AND INTERPRETATION

1 INTRODUCTION

1.1 SHOWAN INVESTMENT PRIVATE LIMITED

M/s Showan Investment Private Limited (hereinafter referred to as "**SIPL**" or "**Transferee Company**").having CIN U74999AS2013PTC011587, is a company incorporated under the Companies Act 1956 and has its Registered Office situated at Makum Road Tinsukia, Assam 786125. The details about the capital structure of Transferee Company are set out in Part II.

1.2 DHOLKA PLYWOOD INDUSTRIES PRIVATE LIMITED

Dholka Plywood Industries Private Limited (hereinafter referred to as "**DPIPL**" or "**Transferor Company**") having CIN U20211GJ2000PTC037542, is a company incorporated under the Companies Act, 1956 and has its Registered Office situated at 206, Silver Oaks Building Nr. Mahalaxmi Cross Road Paldi Ahmedabad Gujarat- 380007. The details about the capital structure of Transferor Company are set out in Part II.

2 RATIONALE OF THE SCHEME

2.1 The Transferor Company and Transferee Company are owned and controlled by Rajesh Mittal (RJM) and his family. Rajesh Mittal and his family is one of the groups forming part of the Mittal Family with the other group comprising of Shiv Prakash Mittal (SPM) and his family. The two groups of the Mittal Family have inter-se entered into a mutual understanding to segregate the joint holdings of the Family in the shares of Greenply Industries Limited (Greenply) [having CIN L20211AS1990PLC003484] and Greenpanel Industries Limited (Greenpanel) [having CIN L20100AS2017PLC018272] between the two groups such that holding of each group is independent of the other.

2.2 As a result of steps taken pursuant to the mutual understanding, Rajesh Mittal and/or members of his family have acquired ownership of Transferor Company and after the recent changes, the shareholders of the Transferor Company and Transferee Company have a mirror shareholding pattern i.e., each individual shareholder owns the same percentage of equity shares in the Transferor Company and the Transferee Company..

For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.

Showan Investment Pvt. Ltd.

Director/Authorised Signatory

2.3 The Transferor Company and Transferee Company are owned by Rajesh Mittal and/or members of his family.

2.4 In order to consolidate the group structure including the Transferor Company and reduce the various administrative costs incurred for the two companies, the Management proposes, by way of this Scheme to amalgamate the Transferor Company into and with the Transferee Company in accordance with the terms hereof.

2.5 The scheme is expected to have the following benefits:

2.5.1 Benefit to the shareholders, employees and other stakeholders of the respective companies by consolidating and simplifying the group structure, business operations, pool resources and provide optimal utilization of financial, human or other resources;

2.5.2 Economies in administrative and managerial costs by consolidating operations and would substantially reduce duplication of administrative responsibilities and multiplicity of records and legal and regulatory compliances;

2.5.3 Enhance growth prospects, reduce overheads, administrative, managerial and other costs and expenditure and remove inefficiencies and bring operational rationalization and organizational efficiency;

2.5.4 Build strong capability to effectively meet future challenges in competitive business environment;

2.5.5 Result in improved shareholder value for the shareholders of the respective companies, thus providing a stronger and wider capital and financial base for future growth /expansion of the Transferee Company.

2.6 Accordingly, the Board of Directors of the Transferor Company and the Transferee Company have formulated this Scheme of Amalgamation for the transfer and vesting of the entire undertaking and business of the Transferor Company with and into the Transferee Company pursuant to the provisions of Section 230-232 of the Companies Act, 2013 and other relevant provisions of the Act.

For DHOLKA PLYWOOD INDUSTRIES PVT. LTD.
Authorised Signatory

Showan Investment Pvt. Ltd.
Director/Authorised Signatory

NOTARY KOLKATA REKHA TEWARI Regn. No. 10268/13 GOVT. OF INDIA

759 (X91)

3 DEFINITIONS

In this Scheme, the following words and expressions shall, unless the context requires otherwise, have the following meanings ascribed to them:

3.1 **"Act" or "the Act"** means the Companies Act, 2013 and the rules made thereunder, and includes any alterations, modifications and amendments made thereto and/or any re-enactment thereof;

3.2 **"Transferee Company" or "SIPL"** shall mean Showan Investment Private Limited, as defined in Clause 1.1 of Part I;

3.3 **"Transferor Company" or "DPIPL"** means Dholka Plywood Industries Private Limited, as defined in Clause 1.2 of Part I above;

3.4 **"Applicable Law(s)"** means any statute, law, regulation, ordinance, rule, judgment, order, decree, by-law, approval from the concerned authority, Governmental Authority resolution, order, directive, guideline, policy, clearance requirement, or other governmental restriction or any similar form of decision of, or determination by, or any interpretation or adjudication having the force of law of any of the foregoing, by any concerned authority having jurisdiction over the matter in question;

3.5 **"Appointed Date"** means October 02, 2021 or such other date as may be approved by Hon'ble National Company Law Tribunal (NCLT);

3.6 **"Appropriate Authority(ies)"** means and includes any governmental, statutory, departmental or public body or authority, including but not limited to Reserve Bank of India, Registrar of Companies, Official Liquidator, National Company Law Tribunal and Regional Director.

3.7 **"Board of Directors"/ "Board"** in relation to the Transferor Company and/or the Transferee Company, as the case may be, shall, unless it be repugnant to the context or otherwise, include a committee of directors or any person authorized by the board of directors or such committee as may be constituted by the board of directors;

3.8 **"Clause" and "sub-Clause"** means the relevant clauses and sub-clauses set out in this Scheme;

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3.9 **"Companies"** means Transferor Company and Transferee Company collectively;

3.10 **"Demerger Scheme"** means the Scheme of Demerger for transfer of finance business undertaking from Prime Holdings Private Limited to DPIPL filed before both, NCLT, Guwahati Bench and NCLT, Ahmedabad Bench on October 6, 2021.

3.11 **"Effective Date"** means the date on which the Scheme shall become effective pursuant to Clause 18 of Part V of this Scheme. Any references in this Scheme to "upon this Scheme becoming effective" or "effectiveness of this Scheme" or "after this Scheme becomes effective" means and refers to the Effective Date;

3.12 **"Financial Statements"** would include stand alone and consolidated accounts;

3.13 **"Governmental Authority"** means any government authority, statutory authority, government department, agency, commission, board, tribunal or court or other law, rule or regulation making entity having or purporting to have jurisdiction on behalf of the Republic of India or any state or other subdivision thereof or any municipality, district or other subdivision thereof;

3.14 **"IT Act"** means the Income-Tax Act, 1961 and the rules, regulations, circulars and notifications issued, as amended, substituted or re-enacted any from time to time and to the extent in force;

3.15 **"NCLT" or "Tribunal"** means as relevant to the context the National Company Law Tribunal, Ahmedabad Bench or the National Company Law Tribunal, Guwahati Bench, to which this scheme of amalgamation in its present form is submitted for its sanctioning under sections 230 to 232 of the Act;

3.16 **"Record Date"** shall mean the date to be fixed by the Board of Directors of the Transferor Company and the Transferee Company for the purpose of determining the members of the Transferor Company to whom shares will be allotted pursuant to Clause 8.1 of Part IV of this Scheme;

3.17 **"RoC"** means the Registrar of Companies, Ministry of Corporate Affairs having respective jurisdiction over the Companies.

3.18 **"Scheme" or "the Scheme" or "this Scheme"** means this Scheme of Amalgamation in its present form (along with any annexures, schedules, etc., annexed/attached hereto), with such modifications and amendments as may be made from time to time, and with appropriate approvals and sanctions of the NCLT and other relevant regulatory

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authorities, as may be required under the Act, as applicable, and under all other applicable laws.

The expressions, which are used in this Scheme and not defined shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act, the IT Act and other applicable laws, rules, regulations, bye-laws, guidelines, circulars, notifications, orders, as the case may be, including any statutory modification or re-enactment thereof, from time to time.

4 INTERPRETATION

In this Scheme, unless the context otherwise requires:

4.1 Words denoting singular shall include plural and vice versa and references to any gender includes the other gender;

4.2 Headings and bold typeface are only for convenience and shall be ignored for the purposes of interpretation;

4.3 References to the word "include" or "including" shall be construed without limitation;

4.4 References to Clauses are to the Clauses to this Scheme;

4.5 References to the words "hereof", "herein" and "hereunder" and words of similar import shall refer to this Scheme as a whole and not to any particular provision of this Scheme;

4.6 Reference to any law or legislation or regulation shall include amendment(s), circulars, notifications, clarifications or supplement(s) to, or replacement or amendment of, that law or legislation or regulation;

4.7 Reference to a document includes an amendment or supplement to, or replacement or novation of, that document;

4.8 Word(s) and expression(s) elsewhere defined in the Scheme will have the meaning(s) respectively ascribed to them;

4.9 References to a person include any individual, firm, body corporate (whether

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incorporated or not), government, state or agency of a state or any joint venture, association, partnership, works council or employee representatives' body (whether or not having separate legal personality); and

4.10 Where a wider construction is possible, the words "other" and "otherwise" shall not be construed ejusdem generis with any forgoing words.

5 DATE OF TAKING EFFECT AND OPERATIVE DATE

The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the NCLT shall be deemed to be effective from the Appointed Date and shall be operative from the Effective Date.

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PART II
SHARE CAPITAL STRUCTURE

6 CAPITAL STRUCTURE

6.1 The share capital of Transferee Company as on March 31, 2021 is as under:

Particulars	Amount (INR)
Authorized share capital	
2,50,000 Equity Shares of Rs. 10 each	25,00,000
TOTAL	25,00,000
Issued, subscribed and paid up share capital	
50,000 Equity Shares of Rs. 10 each	5,00,000
TOTAL	5,00,000

Subsequent to the above date and till the date of this Scheme as approved by the Board of Directors of Transferee Company, there is no change in authorized, issued, subscribed and paid-up equity capital of Transferee Company.

6.2 The share capital of **Transferor Company** as on March 31, 2021 is as under:

Particulars	Amount (INR)
Authorised Capital:	
9,00,000 Equity Shares of Rs.10/- each	90,00,000
1,00,000 Preference Shares of Rs. 10/- each	10,00,000
Total	**1,00,00,000**
Issued, Subscribed and Paid-up Capital:	
3,27,530 Equity Shares of Rs. 10/- each, fully paid up	32,75,300
Total	**32,75,300**

Subsequent to the above date and till the date of this Scheme as approved by the Board of Directors of Transferor Company, there is no change in authorized, issued,

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subscribed and paid-up equity capital of Transferor Company

The Demerger Scheme for transfer of finance business undertaking from Prime Holdings Private Limited to DPIPL has been filed before both, NCLT, Guwahati Bench and NCLT, Ahmedabad Bench on October 6, 2021. Upon the Demerger Scheme becoming effective, DPIPL shall be required to issue and allot 55,00,000 fully paid up 8% non-cumulative non-convertible redeemable preference shares of INR 10 each of DPIPL pro rata to each equity shareholder of Prime Holdings Private Limited whose name is recorded in the register of members of Prime Holdings Private Limited on the Record Date. The issue and allotment will be deemed to have been made on April 01, 2021, the Appointed Date of the Demerger Scheme.

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PART-III

AMALGAMATION OF THE TRANSFEROR COMPANY INTO AND WITH THE TRANSFEREE COMPANY

7 TRANSFER AND VESTING

7.1 With effect from the Appointed Date herein, and upon the Scheme becoming effective, the Transferor Company shall stand transferred to and be vested in the Transferee Company, as a going concern, under the provision of Section 230 to 232 of the Companies Act, 2013 and other applicable provision of the Companies Act, 2013 without any further deed or act, together with all the properties, assets, rights, liabilities, benefits and interest therein.

7.2 Subject to the provisions of the Scheme in relation to the modalities of transfer and vesting, on occurrence of the Effective Date, the whole of the business, personnel, property, assets, liabilities, investments, rights, benefits and interest therein of the Transferor Company shall, with effect from the Appointed Date, stand transferred to and be vested in the Transferee Company, without any further act or deed, and by virtue of the order passed by the NCLT. Without prejudice to the generality of the above, and in particular, the Transferor Company shall stand transferred to and be vested in the Transferee Company in the manner described in sub-clauses 7.2.1 to 7.2.11 below:

7.2.1 all assets of the Transferor Company, as are movable in nature or incorporeal property or are otherwise capable of transfer by manual delivery or by endorsement and delivery or by vesting and recordal pursuant to this Scheme, shall stand vested in the Transferee Company and shall become the property and an integral part of the Transferee Company. The vesting pursuant to this sub-clause shall be deemed to have occurred by manual delivery or endorsement, as appropriate to the property being vested and title to the property shall be deemed to have been transferred accordingly.

7.2.2 all movable properties of the Transferor Company, other than those specified in sub-clause 7.2.1 above, including sundry debtors, bills, credits, outstanding loans and advances, if any, whether recoverable in cash or in kind or for value to be received, bank balances and deposits, property, earnest money or deposit with any governmental, local or any other authority or body or with company or with other person if any, shall without any further act, instrument or deed, become the property of the Transferee Company.

7.2.3 all immovable properties (including rights relating to immovable properties)

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of the Transferor Company, if any, whether freehold or leasehold, and all documents of title, rights and easements in relation thereto, shall stand transferred to and be vested in and transferred to and/or be deemed to have been and stand transferred to and vested in the Transferee Company, without any further act or deed done by the Transferor Company and/or the Transferee Company. With effect from the Appointed Date, the Transferee Company shall be entitled to exercise all rights and privileges and be liable to pay all taxes and charges, and fulfill all obligations, in relation to or applicable to such immoveable properties. The Mutation/substitution of the title to such immoveable properties shall be made and duly recorded in the name of the Transferee Company by the Appropriate Authorities pursuant to the Scheme of Amalgamation being approved by the NCLT and the Scheme becoming effective in accordance with the terms hereof. The Transferor Company shall take all steps as may be necessary to ensure that lawful, peaceful and unencumbered possession, right, title, interest of its immoveable property is given to the Transferee Company.

7.2.4 all investments including the investments made by Transferor Company in the capital of other companies whether as shares, scrips, stocks, bonds, debentures, debenture stocks, Intercorporate Deposits, units, mutual funds or pass through certificates and including depository receipts and certificates and other accrued benefits thereto shall stand transferred to and be vested in and transferred to and/or be deemed to have been and stand transferred to and vested in the Transferee Company, without any further act or deed done by the Transferor Company and/or the Transferee Company;

7.2.5 all the intellectual property rights of any nature whatsoever, including but not limited to intangible assets, including trademarks, logos, service marks, copyrights, domain names, trade names and applications relating thereto, goodwill, knowhow and trade secrets, pertaining to the Transferor Company, whether or not registered and whether or not recorded in books of accounts of the Transferor Company, without any cost, further act, instrument or deed, shall be and shall stand transferred to and vested in the Transferee Company as a part of the transfer as a going concern, so as to become, as and from the Appointed Date, the intellectual property of the Transferee Company. The consideration agreed under the Scheme shall be deemed to include payment towards intangible assets.

7.2.6 all debts, liabilities, contingent liabilities, duties and obligations, including secured or unsecured, Sundry Creditors whether provided for or not in the books of account or disclosed in the balance sheets of the Transferor Company, shall, be deemed to be the debts, liabilities, contingent liabilities,

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duties and obligations of the Transferee Company and the Transferee Company undertakes to meet, discharge and satisfy the same. It is hereby clarified that it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such debts, liabilities, duties and obligations have arisen in order to give effect to the provisions of this Clause without any further Act, instrument, deed, matter or thing;

7.2.7 all contracts, deeds, bonds, agreements, schemes, arrangements and other instruments, permits, rights, entitlements, licenses including those relating to tenancies, privileges, powers, facilities of every kind and description of whatsoever nature in relation to the Transferor Company or to the benefit of which, the Transferor Company may be eligible and which are subsisting or having effect immediately before the Effective Date, shall be in full force and effect on, against or in favour of the Transferee Company and may be enforced as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obligee thereto;

7.2.8 any pending suit/appeal or other proceedings of whatsoever nature relating to the Transferor Company, whether by or against the Transferor Company, shall not abate or be discontinued or in any way prejudicially affected by reason of the amalgamation of the Transferor Company or of anything contained in this Scheme, but the proceedings shall continue and any prosecution shall be enforced by or against the Transferee Company in the same manner and to the same extent as they would or might have been continued, prosecuted and/or enforced by or against the Transferor Company. The Transferee Company shall file necessary application for transfer of all pending suit/appeal or other proceedings of whatsoever nature relating to Transferor Company;

7.2.9 all employees of the Transferor Company, who are on its pay roll shall be engaged by the Transferee Company, on such terms and conditions as are no less favourable than those on which they are currently engaged by the Transferor Company, without any interruption of service as a result of this amalgamation and transfer. With regard to provident fund, gratuity, leave encashment and any other special scheme or benefits created or existing for the benefit of such employees of the Transferor Company (if any), upon this Scheme becoming effective, the Transferee Company shall stand substituted for the Transferor Company for all purposes whatsoever, in accordance with the provisions of applicable laws and in terms of this Scheme. It is hereby clarified that upon this Scheme becoming effective, the aforesaid benefits or schemes shall continue to be provided to the transferred employees and the

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services of all the transferred employees of the Transferor Company for such purpose, shall be treated as having been continuous;

7.2.10 all statutory licenses, permissions or approvals or consents held by each of the Transferor Company required to carry on its operations shall stand transferred to and be vested in the Transferee Company without any further act or deed, and shall, as may be required, be appropriately mutated by the statutory authorities concerned therewith in favor of the Transferee Company. The benefit of all statutory and regulatory permissions, approvals and consents of the Transferor Company shall vest in and become available to the Transferee Company pursuant to the Scheme;

7.2.11 any and all registrations, goodwill, licenses appertaining to the Transferor Company shall stand transferred to and vested in the Transferee Company;

Provided that the Transferor Company and the Transferee Company may by mutual agreement at any time after the Appointed Date, give effect to any or all of the provisions of this Clause 7.2.

7.3 **Procedural Formalities Post Sanction of the Scheme**

7.3.1 The Transferee Company shall, at any time after the coming into effect of this Scheme in accordance with the provisions hereof, if so required under any law or otherwise, execute deeds of confirmation or novation or other writings or arrangements with any party to any contract or arrangement in relation to which the Transferor Company have been a party, in order to give formal effect to the above provisions. The Transferee Company shall, under the provisions of this Scheme, be deemed to be authorized to execute any such writings on behalf of the Transferor Company and to carry out or perform all such formalities or compliances referred to above on the part of the Transferor Company.

7.3.2 Upon the Scheme becoming effective, for statistical purposes only and without any separate deed, instrument or writing, the Transferor Company and/or the Transferee Company shall, if required, simultaneously with the amendment in the register of charge file particulars of the modified charge with the concerned RoC. Any documentation subsequently entered into with the term lenders or the working capital lenders of the Transferor Company and the Transferee Company, shall be for the sake of convenience and record only and to reflect the changes in the security pursuant to the Scheme and there shall be no break in the continuity of such charge and the same shall relate back to the date of its creation thereof in the Transferor Company.

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7.3.3 Upon the Scheme becoming effective, all statutory permissions, licenses, approvals, consents, privileges, benefits and benefits of filings and all other incorporeal rights emanating from such licenses (together the "Licenses", for the purpose of this Clause 7.3.3 relating to the Transferor Company, shall stand transferred to and vested in the Transferee Company without any further act, instrument or deed, as more particularly provided hereinabove. Notwithstanding such transfer/ vesting of the Licenses, if any application is required for the statistical record of the statutory authorities to implement the transfer and vesting of the Licenses, as provided hereinabove, the Transferee Company shall facilitate the statutory authorities by filing such applications, which shall be granted/ approved in favour of the Transferee Company based on the sanction order of the Scheme by the NCLT.

7.3.4 From the Effective Date, all bank accounts of the Transferor Company shall be permitted to be continued with the same balances as of the Effective Date in the name of the Transferee Company and for record the Transferee Company shall be permitted to file names and particulars of the new authorized signatories for withdrawals and/ or deposits/ credits in such bank accounts and the relevant bank accounts shall be reconstituted accordingly.

7.4 Conduct of Business

7.4.1 Subject to the steps, if any, taken under the proviso to Clause 7.2 of this Scheme, with effect from the Appointed Date and until occurrence of the Effective Date:

7.4.1.1 the Transferor Company undertake to carry on and shall be deemed to have carried on all their business activities and stand possessed of their properties and assets, for and on account of and in trust for the Transferee Company; and

7.4.1.2 all the income or profits accruing to the Transferor Company and all charges, expenses, taxes thereon or losses accumulated or otherwise arising or incurred by it shall, for all purposes, be treated as and deemed to be the income, profits, expenses, taxes or losses, as the case may be, of the Transferee Company; and

7.4.1.3 all the assets as acquired by the Transferor Company for carrying on its business, operations or activities and the liabilities relating thereto shall be deemed to have been acquired and so contracted for and on behalf of the Transferee Company

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7.4.1.4 the Transferor Company shall carry on their business, with reasonable diligence and business prudence and in the same manner as they had been doing hitherto and shall not undertake any additional financial commitments of any nature whatsoever, borrow any amounts or incur any other liabilities or expenditure, issue any additional guarantees, indemnities, letters of comfort or commitment either for itself or on behalf of its affiliates or associates or any third party, or sell, transfer, alienate, charge, mortgage or encumber or deal, in any of their properties/ assets, except : (a) when the same is expressly provided in this Scheme; or (b) when the same is in the ordinary course of business as carried on by them as on the date of filing of this Scheme in the NCLT; or (c) when a prior written consent of the Transferee Company has been obtained in this regard;

7.4.1.5 except by mutual consent of the Board of Directors of the Transferor Company and the Transferee Company and subject to changes pursuant to commitments, obligations or arrangements prior to the Appointed Date or as part of this Scheme, pending sanction of this Scheme by the NCLT, the Transferor Company shall not make any change in its capital structure either by any increase (by issue of equity shares, bonus shares, preference shares, convertible debentures or otherwise), decrease, reduction, reclassification, sub-division or consolidation, re-organisation or in any other manner, which would have the effect of reorganisation of capital of the Transferor Company; and

7.4.1.6 the Transferor Company shall not vary or alter, except in the ordinary course of its business or pursuant to any pre-existing obligations undertaken prior to the date of approval of the Scheme by the Board of Directors of the Transferor Company, the terms and conditions of employment of any of its employees, nor shall they conclude settlement with any union or its employees except with the written concurrence of the Transferee Company; and

7.4.1.7 the Transferor Company shall not alter or substantially expand its business except with the written concurrence of the Transferee Company; and

7.4.1.8 the Transferor Company shall not amend its memorandum of association and / or their articles of association, except with the written concurrence of the Transferee Company.

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7.4.2 Notwithstanding anything contained in this Scheme, subject to the Applicable Laws, the Board of Directors of the Transferee Company shall be entitled to consider, pursue, manage, undertake and conduct business of Transferee Company inter-alia including, any corporate actions, issue of securities and bonus shares, buy back of securities, reorganization, restructuring of its businesses, strategic acquisition or sale of any business, joint ventures, business combinations etc., as it may deem prudent and necessary in the interest of the Transferee Company.

7.4.3 With effect from the Appointed Date, all debts, liabilities, duties and obligations of the Transferor Company as on the Appointed Date, whether or not provided in their books, and all liabilities which arise or accrue on or after the Appointed Date shall be deemed to be the debts, liabilities, duties and obligations of the Transferee Company.

7.4.4 With effect from the Appointed Date, the Transferee Company shall be deemed to have commenced and shall carry on and shall be authorized to carry on the business of the Transferor Company.

7.4.5 For the purpose of giving effect to the amalgamation order passed under sections 230 to 232 and other applicable provisions of the Act in respect of the Scheme by NCLT, the Transferee Company shall, at any time pursuant to the order on the Scheme, be entitled to get the recordal of the change in the legal right(s).

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Director/Authorised Signatory

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PART-IV
CONSIDERATION, ACCOUNTING TREATMENT AND TAX TREATMENT OF TRANSFEREE COMPANY

8 CONSIDERATION

8.1 Upon the coming into effect of the Scheme, no consideration will accrue to or be received by the Transferor Company and in consideration of the amalgamation of the Transferor Company with the Transferee Company pursuant to Part III of the Scheme, including the consequential extinguishment of the shareholding in the Transferor Company, the Transferee Company shall, without any further act or deed and without any further payment, issue and allot:

> *"1,00,000 fully paid equity shares of INR 10 each of SIPL pro rata to each equity shareholder of Transferor Company whose name is recorded in the register of members of the Transferor Company as on the record date, or to such of their heirs, executors, administrators or the successors-in-title.; and*
>
> *55,00,000 fully paid up 8% non-cumulative non-convertible redeemable preference shares of INR 10 each of SIPL pro rata to each preference shareholder of the Transferor Company whose name is recorded in the register of members of the Transferor Company on the Record Date, or to such of their heirs, executors, administrators or the successors-in-title."*

8.2 In respect of fractional entitlement to a shareholder, same shall be rounded off to the nearest integer. A fraction of less than half shall be rounded down to the nearest lower integer and a fraction of half or more shall be rounded up to the nearest higher integer.

8.3 As already stated in Clause 2, Transferor Company and Transferee Company are part of the same group and have a mirror shareholding pattern i.e. each individual shareholder owns the same percentage of equity shares of the Transferor Company and of the Transferee Company. Accordingly, issuance of 1,00,000 Equity Shares of the Transferee Company pursuant to the Scheme on pro rata basis to the shareholders of the Transferor Company will not have any material impact (positive or negative) on the wealth of shareholders of the Transferor Company / Transferee Company. The consideration in form of 1,00,000 Equity Shares of the Transferee Company issued pro rata to Shareholders of the Transferor Company is thus, fair and is not detrimental / beneficial to all any

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shareholder of the Transferor Company and/or Transferee Company and the same is in accordance with the valuation report issued by a valuer registered under the Companies Act.

8.4 Since the preference shareholders of the Transferor Company are being issued preference shares of the Transferee Company on a one-to-one basis and on identical terms as that of the preference shares held by them in the Transferor Company, the share exchange ratio is fair and is not detrimental / beneficial to all/any shareholder of the Transferor Company and/or Transferee Company and the same is in accordance with the valuation report issued by a valuer registered under the Companies Act.

8.5 Upon New Shares being issued and allotted by the Transferee Company to the members of the Transferor Company, in accordance with Clause 8.1, the share certificates in relation to the shares held by the said members in the Transferor Company shall stand cancelled and extinguished and be of no effect on and from the date of such issue and allotment.

8.6 In the event of there being any pending share transfers, whether lodged or outstanding, of any shareholder of the Transferor Company, the Board of Directors of the Transferee Company shall be empowered in appropriate cases, prior to or even subsequent to the Record Date, to effectuate such a transfer as if such changes in the registered holder were operative as on Record Date, in order to remove any difficulties, after the effectiveness of this Scheme.

8.7 The New Shares to be issued to the members of Transferor Company under Clause 8.1 above shall be subject to the Memorandum and Articles of Association of Transferee Company. The approval of this Scheme by the shareholders of Transferee Company shall be deemed to be due compliance of the provisions of section 13, 14, 42, 62 and other relevant and applicable provisions of the Act, for issue and allotment of Equity Shares by Transferee Company to the shareholders of Transferor Company, as provided in this Scheme.

8.8 The Equity Shares to be issued to the members of Transferor Company under Clause 8.1 above shall be subject to the Memorandum and Articles of Association of Transferee Company and shall rank pari passu with the existing equity shares of Transferee Company in all respects for the financial year starting from the Effective Date in terms of the Scheme with the existing equity shares of Transferee Company.

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9 CHANGE IN AUTHORISED SHARE CAPITAL

9.1 Upon this Scheme becoming effective and upon the vesting and transfer of the Transferor Company in the Transferee Company pursuant to the terms of this Scheme, the entire authorized share capital of the Transferor Company shall stand transferred from the authorized share capital of the Transferor Company to the authorized share capital of the Transferee Company.

9.2 The stamp duty or filing fees paid on the authorized share capital of the Transferor Company are permitted to be utilized and applied towards the increase in the authorized share capital of the Transferee Company in accordance with Clause 9.1, and no further demand of additional stamp duty or fee shall be raised or made upon the Transferee Company by any regulatory authorities in relation to such increase in the authorized share capital of the Transferee Company, including by the Registrar of Companies and no separate procedure or instrument or deed shall be required for the same.

9.3 It is hereby clarified that for the purposes of increasing the authorized share capital of the Transferee Company in accordance with Clause 9.1, the consent of the shareholders of the Transferee Company to this Scheme shall be deemed to be sufficient for the purposes of effecting this amendment and that no further resolution under section 13, section 61 or any other applicable provisions of the Act, would be required to be separately passed.

10 ACCOUNTING TREATMENT

10.1 On the Scheme becoming effective and with effect from the Appointed Date, the Transferee Company shall account for the amalgamation in its books of accounts as per applicable Accounting Standards including, in particular, Accounting Standard (AS) 14 Accounting for Amalgamations of Companies (Accounting Standards) Rules, 2006 and accordingly:

10.1.1 The assets, liabilities and reserves of the Transferor Company would be recorded by the Transferee Company at their existing carrying amounts.

10.1.1.1 The identity of the reserves and surplus would be preserved and as they appear in the financial statements of the Transferee Company in the same form in which they appeared in the financial statements of the Transferor Company.

10.1.2 The face value of the shares issued by the Transferee Company pursuant to the

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Scheme shall be credited to the Share Capital of the Transferee Company.

10.1.3 Any inter-company balances and transaction between the Transferor Company and / or between the Transferor Company and the Transferee Company, if any shall stand cancelled.

10.1.4 The difference between the amount recorded as share capital issued by the Transferee Company and the amount of share capital of the Transferor Company should be adjusted in reserves.

10.1.5 In case any differences in accounting policy between the Transferor Company and Transferee Company, the impact of the same till the Appointed Date will be quantified and adjusted in accordance with Accounting Standard (AS) 5 'Net Profit or Loss for the period, prior period items and changes in Accounting Policies', in the books of the Transferee Company to ensure that the financial statement of the Transferee Company reflect the financial position on the basis of consistent accounting policy.

11 TAX

11.1 Any tax liabilities under the IT Act or other applicable laws/regulations dealing with taxes/ duties/ levies allocable or related to the business of Transferor Company whether or not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date shall be transferred to the Transferee Company.

11.2 Any surplus in the provision for taxation/ duties/ levies account and any entitlement to credit, refund or set off including but not limited to the advance tax, tax deducted at source and MAT credit (credit of tax paid under section 115JB of the Income Tax Act, 1962), GST credit, as on the date immediately preceding the Appointed Date will also be transferred to Transferee Company. Any refund under the IT Act or other applicable laws/ regulations dealing with taxes/ duties/ levies allocable or related to the business of Transferor Company or due to Transferor Company, consequent to the assessment made in respect of Transferor Company, shall also belong to and be received by Transferee Company.

11.3 The tax payments (including without limitation income tax, tax on distribution of dividends, GST or any other taxes as may be applicable from time to time) whether by way of tax deducted at source, advance tax or otherwise howsoever, by Transferor Company whether before or after the Appointed Date, shall be deemed to be paid by Transferee Company and shall, in all proceedings, be dealt with accordingly.

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Notwithstanding the above, any tax deducted at source by either the Transferor Company or the Transferee Company on account of intercompany transactions, if any, between Transferee Company and Transferor Company post the Appointed Date, shall be deemed to be advance tax paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly.

11.4 Any withholding tax certificate or any other tax related certificate issued in the name of the Transferor Company shall be deemed to be issued in the name of the Transferee Company.

11.5 Upon the Scheme becoming Effective, with effect from the Appointed Date, Transferor Company and Transferee Company are expressly permitted to prepare and/or revise, as the case may be, their financial statements and returns along with the prescribed forms, filings and annexure under the IT Act, GST laws and other tax laws, if required, to give effects to provisions of the Scheme.

11.6 All tax assessments proceedings/appeals of whatsoever nature by or against the Transferor Company pending at and/or arising after the Appointed Date and relating to Transferor Company shall be continued and/or enforced until the Effective Date as desired by Transferee Company. As and from the Effective Date, the tax proceedings/ appeals shall be continued and enforced by or against Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against Transferor Company. Further, subject to the provisions of the relevant statues the aforementioned proceedings shall not abate or be discontinued nor be in any way prejudicially affected by reason of the amalgamation of Transferor Company with Transferee Company or anything contained in the Scheme.

11.7 Upon the Scheme coming into effect, any obligation for deduction of tax at source on any payment made by or to be made by Transferor Company shall be made or deemed to have been made and duly complied with by the Transferee Company.

12 STAFF AND EMPLOYEES

12.1 On the scheme becoming operative, all the staff and employees of the Transferor Company in service on the effective date shall be deemed to have become staff and employees of the Transferee Company without any break in their service and on the basis of continuity of service, and the terms and conditions of their employment with the Transferor Company shall not be less favorable than those applicable to them on the effective date.

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12.2 It is expressly provided that, on the scheme becoming effective, the provident fund, gratuity fund or any other fund created for the benefit of staff and employees of the Transferor Company shall become the fund of the Transferee Company for all purposes whatsoever in relation to the administration or operation of such funds or funds or funds in relation to the obligation to make contribution to the said funds, if any. It is clarified that the services of the staff and employees of the Transferor Company will be treated as having been continuous for the purpose of said fund or funds.

13 LEGAL PROCEEDINGS

13.1 If any suit, appeal or other proceeding of whatever nature by or against the Transferor Company are pending, the same shall not abate or be discontinued or be in any way prejudicially affected by reason of the scheme or by anything contained in this scheme, but the said suit, appeal or other legal proceedings may be continued, prosecuted and enforced by or against the Transferee Company in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the Transferor Company as if this scheme had not been made.

13.2 Subject to the above clause, in case any litigation, suits, recovery proceedings which are to be initiated or may be initiated against the Transferor Company, the Transferee Company shall be made party thereto and payment and expenses made thereto shall be liability of the Transferee Company.

14 CONTRACT, DEEDS AND OTHER INSTRUNMENTS

14.1 Subject to other provisions as contained therein, all contracts, deeds, bonds, debentures, agreement and other instruments of whatever nature to which the Transferor Company is party, subsisting or having effect immediately before the effective date shall remain in force and effect or in favour of the Transferee Company, as the case may be, and may be enforced as fully and as effectually as if, instead of Transferor Company had been a party thereto.

14.2 It is clarified that incase of any such instruments including contracts, deeds, bonds etc., wherever required, Transferee Company shall amend or modify such instrument etc., as may be appropriate, by appending, attaching or affixing there to such addendum, stickers, papers, supplementary modification deeds etc., with or without affixing the common seal of the Company, to denote and signify the transferee company as a party thereto stepping instead and in place of Transferor Company. Further, Transferee Company shall be deemed to be authorized to execute any such deeds, writing or confirmations on behalf of the Transferor Company and to

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implement and to carry out all formalities required on part of the Transferor Company to give effect to the provision of this scheme.

15 SAVING OF CONCLUDED TRANSACTIONS

15.1 The transfer of assets, properties and liabilities under Clause 7 of Part III above and also the continuance of proceedings by or against the Transferor Company under the same Clause shall not affect any transaction or proceedings already concluded by the Transferor Company on and after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Company.

16 DISSOLUTION OF THE TRANSFEROR COMPANY

16.1 On the Scheme becoming effective, the Transferor Company shall stand dissolved automatically without winding up in accordance with the provisions of Section 230 and 232 of the Act.

16.2 On and from the Effective Date, name of the Transferor Company shall be removed from the records of the RoC and records relating to the Transferor Company shall be transferred and merged with the records of the Transferee Company.

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PART-V

GENERAL / RESIDUARY TERMS AND CONDITIONS

17 APPLICATION TO NCLT

The Transferee Company and the Transferor Company shall, with all reasonable dispatch, make respective applications to the NCLT and or applicable authority, under sections 230 to 232 of the Act, seeking order for dispensing with or for convening, holding and/or conducting of the meetings of the classes of their respective members and creditors (secured and unsecured) as per the requirements of the Act.

18 CONDITIONALITY OF THE SCHEME

This Scheme is and shall be conditional upon and subject to:

18.1 The approval by the requisite majorities of the classes of persons, including shareholders, creditors of the Transferor Company and Transferee Company as may be directed by the NCLT under Section 230- 232 of the Act;

18.2 Approval and effectiveness of the Demerger Scheme as defined under Clause 3.10;

18.3 The sanctioning of this Scheme by the NCLT, whether with any modifications or amendments as NCLT may deem fit or otherwise;

18.4 The filing of the certified copies of the orders of the NCLT sanctioning the scheme of Amalgamation with the Registrar of Companies by the Transferor Company and Transferee Company, as the case may be;

18.5 Any other sanctions and orders as may be directed by the NCLT in respect of the Scheme.

Upon this Scheme becoming effective, in accordance with sub-section 6 of Section 232 of the Act, the Scheme shall be deemed to be effective from the Appointed Date.

19 MODIFICATION OR AMENDMENTS TO THE SCHEME

19.1 The Transferor Company and the Transferee Company (acting through their respective Boards of Directors) may assent to any modifications or amendments to this Scheme, which the NCLT and/or any other authorities may deem fit to direct or

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impose or which may otherwise be considered necessary or desirable for settling any question or doubt or difficulty that may arise for implementing and/or carrying out this Scheme. The Transferor Company and the Transferee Company (acting through its respective Boards of Directors) be and is hereby authorized to take such steps and do all acts, deeds and things as may be necessary, desirable or proper to give effect to this Scheme and to resolve any doubts, difficulties or questions, whether by reason of any order of the NCLT or of any directive or order of any other authorities or otherwise howsoever arising out of, under or by virtue of this Scheme and/or any matters concerning or connected therewith.

19.2 In the event of any of the conditions that may be imposed by the NCLT or other authorities which the Transferor Company and Transferee Company may find unacceptable for any reason, then the Transferor Company and/or Transferee Company are at liberty to withdraw the Scheme. The Board of Directors of Transferor Company and Transferee Company shall be entitled, in a mutually agreeable manner, to revoke, cancel and declare the Scheme to be of no effect if they are of view that the coming into effect of the Scheme could have adverse implications on Transferor Company and/or Transferee Company.

19.3 If any issue arises as whether any asset, liability, employee pertains to the Transferor Company and/or Transferee Company, or not under this Scheme, the same shall be decided by the Board of Directors of the Transferor Company and/or Transferee Company, as relevant, on the basis of relevant books of account and other evidence that they may deem relevant for said purposes. Their decision will be final and conclusive.

19.4 The provisions of this Scheme as they relate to the amalgamation of Transferor Company into and with Transferee Company have been drawn up to comply with the conditions relating to "amalgamation" as defined under section 2(1B) of the Income-tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said section of the Income-Tax Act, 1961, at a later date including resulting from an amendment of law or for any other reason whatsoever, the provisions of the said section of the Income-Tax Act, 1961, shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with section 2(1B) of the Income-Tax Act, 1961. Such modification will, however, not affect the other parts of the Scheme.

20 EFFECT OF NON-RECEIPT OF APPROVALS

20.1 In the event that the Scheme is not sanctioned by the NCLT or in the event any of the consents, approvals, permissions, resolutions, agreements, sanctions or conditions enumerated in the Scheme are not obtained or complied with or for any other reason,

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the Scheme cannot be implemented, the Scheme shall become null and void. The Transferee Company shall bear the cost, charges and expenses in connection with the Scheme unless otherwise mutually agreed.

20.2 The non – receipt of any sanctions or approvals for a particular asset or liability forming part of the Transferor Company getting transferred pursuant to this Scheme, shall not affect the effectiveness of the respective section of the Scheme, if the Boards of Directors of the Transferor Company and/or Transferee Company so decide. In the event of non – receipt of approval of any lender / creditor for the transfer of any liability of the Transferor Company, then at the option of the Boards of Directors of the Transferor Company, it may discharge such liability by issuing a security / recognizing a liability in favour of Transferee Company on the same terms.

20.3 In particular and without prejudice to the generality of the foregoing, the Transferor Company and the Transferee Company will reverse any steps taken by them in implementation of Clause 7 of this Scheme.

21 COSTS, CHARGES & EXPENSES

All costs, charges, taxes including duties, levies and other expenses, if any (save as expressly otherwise agreed) arising out of, in connection to or in relation to or incurred in carrying out and implementing this Scheme and to put it into operation shall be borne by the Transferee Company.

22 MISCELLANEOUS

If any part of this Scheme hereof is invalid, ruled illegal by any NCLT of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the Transferor Company and Transferee Company that such Part shall be severable from the remainder of the Scheme, and the Scheme shall not be affected thereby, unless the deletion of such Part shall cause this Scheme to become materially adverse to Transferor Company and/or Transferee Company, in which case the Transferor Company and Transferee Company shall attempt to bring about a modification in the Scheme, as will best preserve for the Transferor Company and Transferee Company the benefits and obligations of the Scheme, including but not limited to such Part.

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ANNEXURE - "B"

Schedule
First Part

(Insert a short description of the freehold property of the transferor company)- **Not Applicable**

Second Part
(Insert a short description of the leasehold property of the transferor company) – **Not Applicable**

Third Part
(Insert a short description of all stocks, shares, debentures and other charges in action of the transferor company)

No charges are created on the assets of the Transferor Company. The schedule of Assets as detailed below:

1. **Dholka Plywood Industries Private Limited (Transferor Company)**

Current Assets

Cash & Cash Equivalent

Particulars	Amount (in Rs.)
Balance with Bank on Current Account	14,213.00
Cash in hand	478.00
Bank Deposit having Original Maturity after 3 months but within 12 months of the Reporting Date	3,88,969.00
Total	**4,03,660.00**

Dated .....
(By the Tribunal)

Registrar

* Where the Tribunal directs that the transferor company should be dissolved from any other date, the clause should be altered accordingly.

Agarwal